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DIMITRIS PECHLIVANIDIS

State of Crypto ETFs Q3 2026

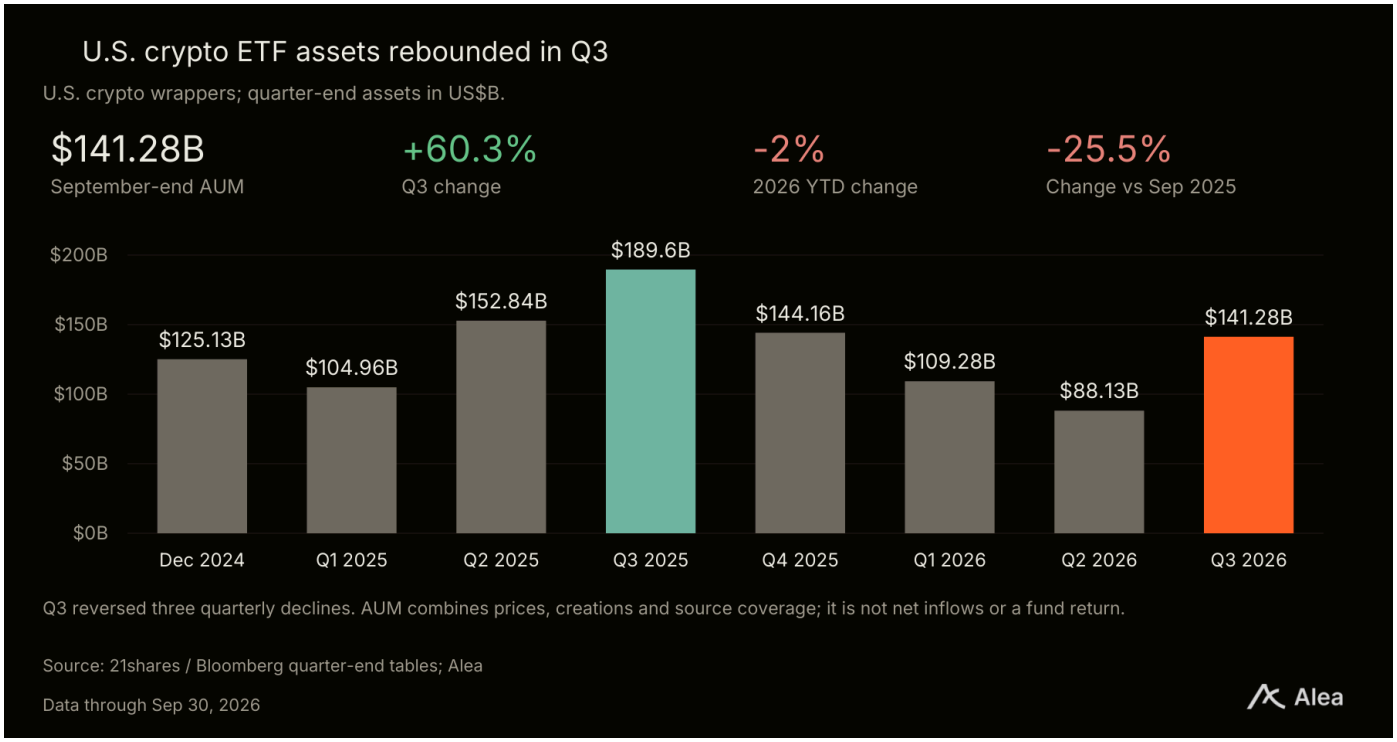
July 1 to September 30, 2026

Research by Dimitris Pechlivanidis

U.S. fund assets, flows, issuers, and returns

State of Crypto ETFs: Q3 2026

U.S. crypto ETF assets under management (AUM) reached **$141.28B** at September-end, up **60.3%** from June. Assets remained **2%** below year-start and **25.5%** below September 2025.



Assets rebounded after three quarterly declines. Bitcoin and ether accounted for **94%** of U.S. assets at September-end. In IBIT and ETHA, increases in net asset value (NAV) supplied most of Q3 asset growth and enlarged BlackRock's fee base.

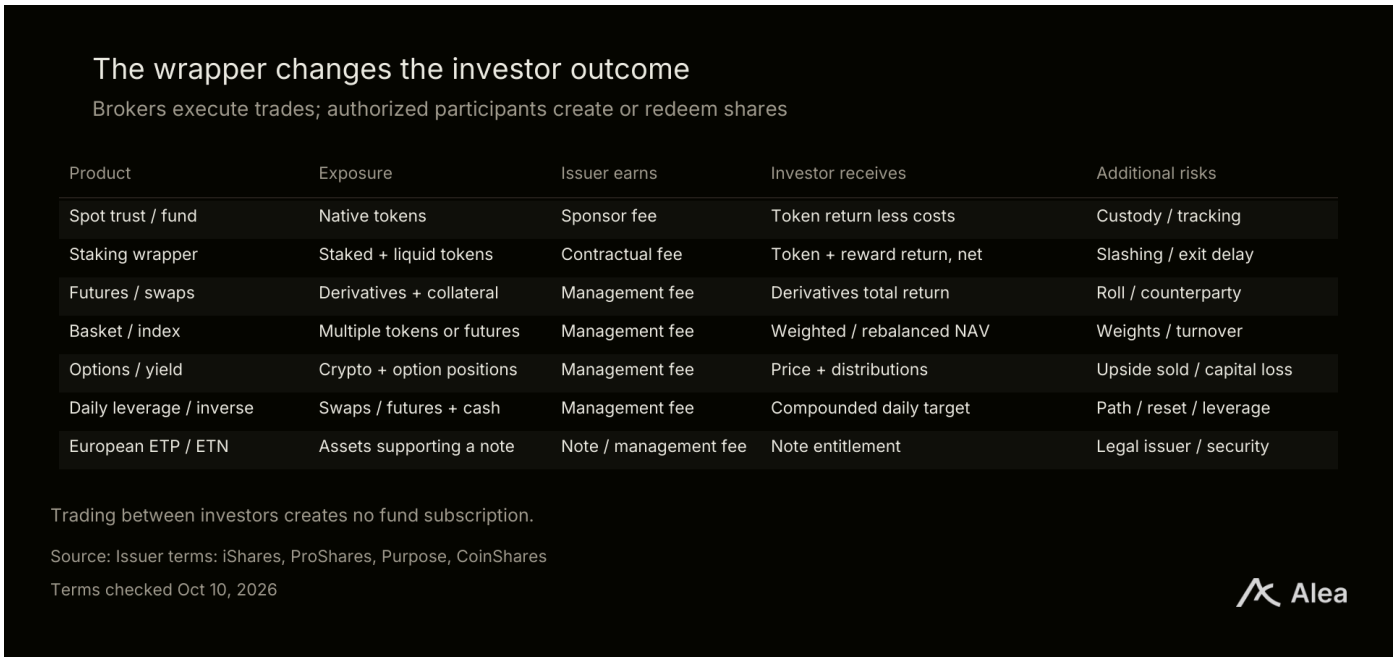
Key Takeaways

- **IBIT and ETHA ended Q3 below year-start wealth.** IBIT returned **+42.78%** in Q3 and **-4.30%** YTD; ETHA returned **+69.49%** and **-10%**, respectively.
- **BTC/ETH subscriptions reversed first-half redemptions.** Combined Q3 net inflows of **$9.41B** offset **$6.86B** of first-half outflows and left **+$2.55B** YTD. Q3 inflows were **48.8%** below Q3 2025's **$18.36B**.
- **Higher fund NAVs supplied most of IBIT's and ETHA's asset growth.** NAV changes accounted for **79.3%** of IBIT's Q3 increase and **60%** of ETHA's; net share creations supplied the remainder.
- **Demand relative to starting assets diverged between bitcoin and ether.** IBIT's Q3 flow intensity rose from **11.43%** in 2025 to **11.85%** in 2026; ETHA's fell from **178.95%** to **52.19%**.
- **The coin recovery extended beyond BTC and ETH.** All **30** coins in the price comparison gained in Q3; **14** ended September with positive YTD price returns.
- **Daily leverage amplified the quarter's gains and earlier losses.** ETHT gained **157.93%** in Q3 and remained down **48.40%** YTD. Daily resets compounded returns on a capital base reduced by first-half losses.
- **ETHB outperformed ETHA, and reinvested payouts added to returns.** ETHB returned **+70.21%** in Q3 versus ETHA's **+69.49%**. Reinvesting BITO's cash distributions raised its Q3 NAV return from **40.46%** to **41.01%**.

Structure and Fees

Investors buy fund shares through brokers. Market makers trade those shares, and authorized participants create or redeem them with the issuer. Custodians hold the tokens or collateral. Sponsors collect contractual fees from fund assets, so rising NAVs expand their fee base alongside new share creations.

Spot products hold tokens and deduct expenses. Staking funds earn rewards and bear validator and withdrawal risks. Futures funds combine price exposure with contract rolls, financing, collateral income, and expenses. Daily leveraged and inverse funds reset exposure each day. Options strategies sell part of the upside in exchange for option income.



IBIT holds bitcoin in a trust; BITO uses futures for bitcoin exposure. CoinShares' physical ETPs are debt securities, and its certificate products carry counterparty risk. These structures assign shareholders different legal claims and sources of return.

Leading issuers

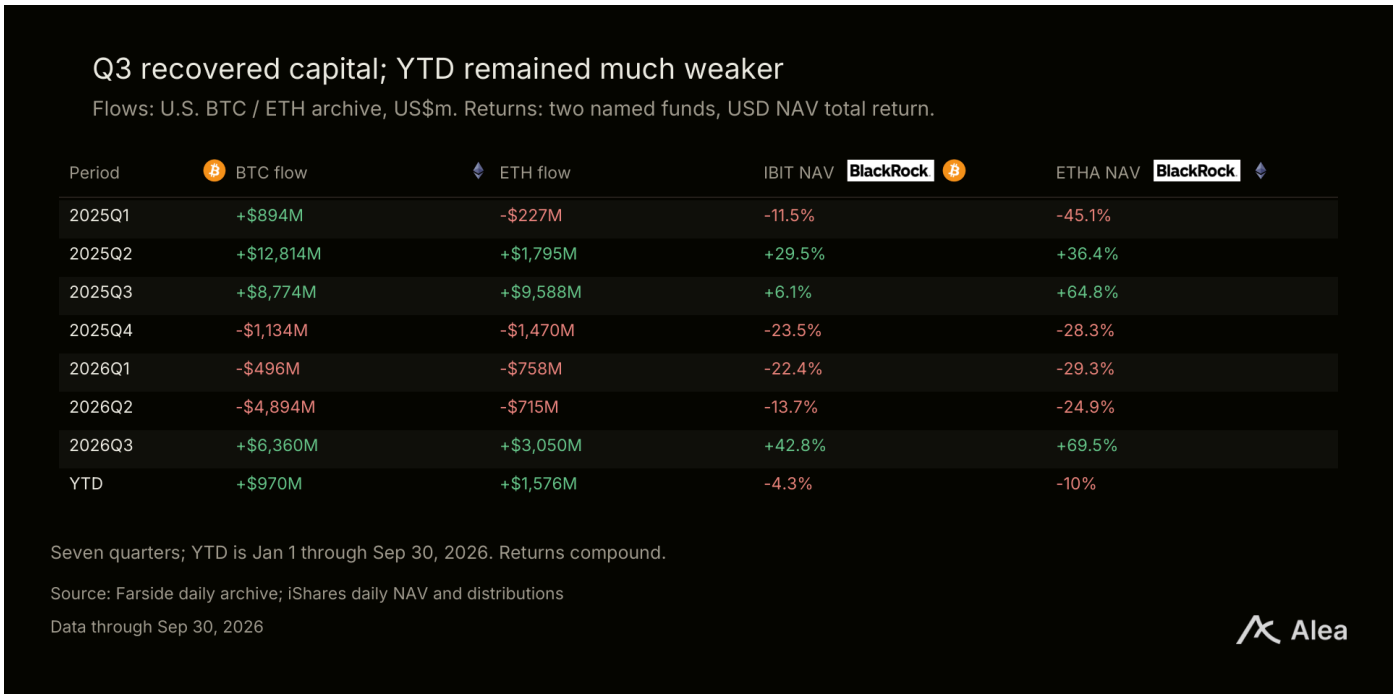
BlackRock's iShares range includes IBIT for bitcoin and ETHA for ether; ETHB adds staking, and BITA sells call options on IBIT. Fidelity offers FBTC and FETH; Bitwise offers BITB and ETHW for the same two coins. BlackRock led U.S. issuers at September-end with **$78.15B**, ahead of Grayscale's **$22.37B** and Fidelity's **$17.13B**. ProShares' BITO and EETH use futures; Volatility Shares' BITX and ETHU target twice their coin's daily move through derivatives.



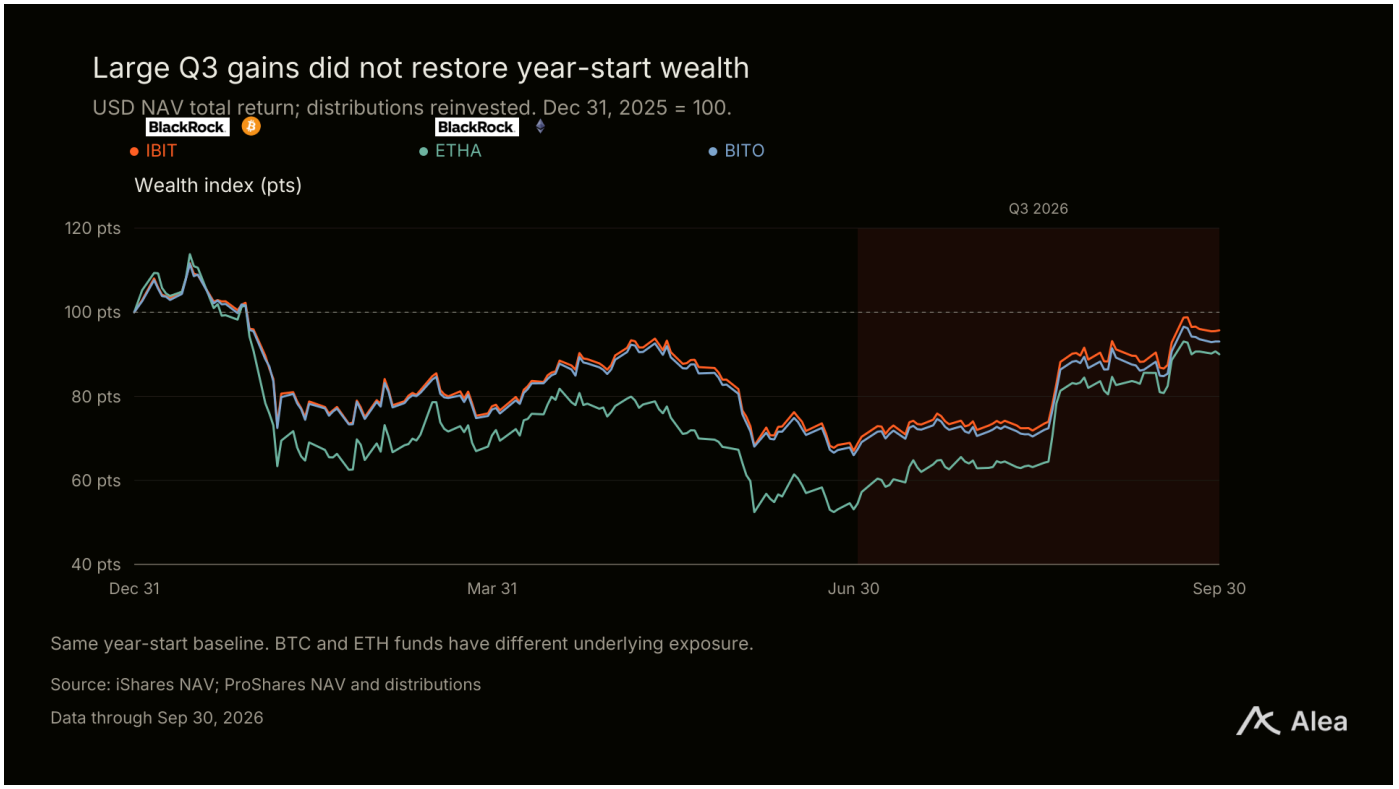
Q3 Recovery

IBIT returned **42.78%** on NAV in Q3 and ETHA returned **69.49%**. These total returns include reinvested distributions.

Their YTD returns were **-4.30%** and **-10%**, respectively.



Q3 followed two negative quarters in 2026 and a negative Q4 2025. ETHA lost **46.90%** in the first half. Its **69.49%** Q3 gain applied to that smaller capital base, leaving it **10%** below year-start.



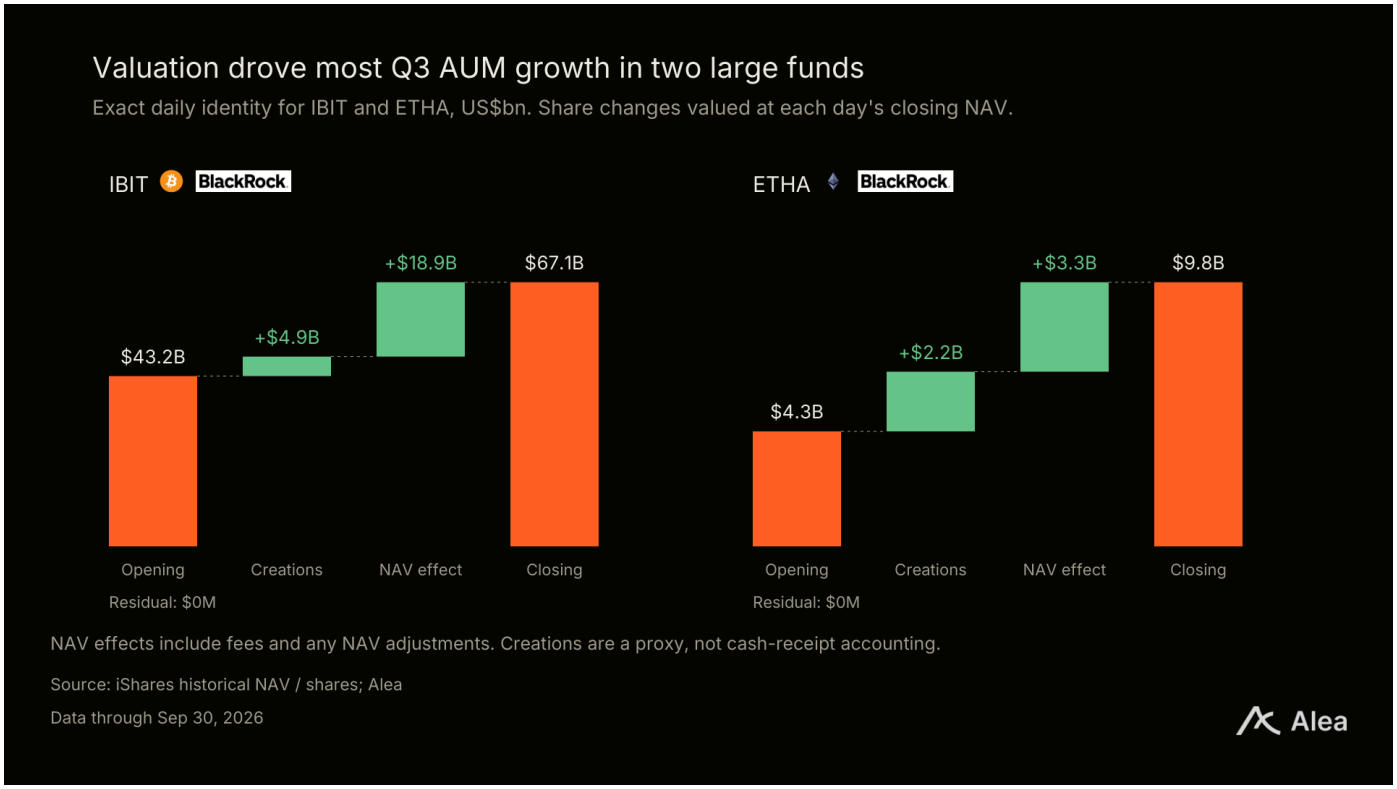
The BTC group received **$6.36B** of Q3 net inflows and the ETH group received **$3.05B**. Combined inflows reached **$9.41B**, against **$18.36B** in Q3 2025, a **48.8%** decline.

AUM Growth

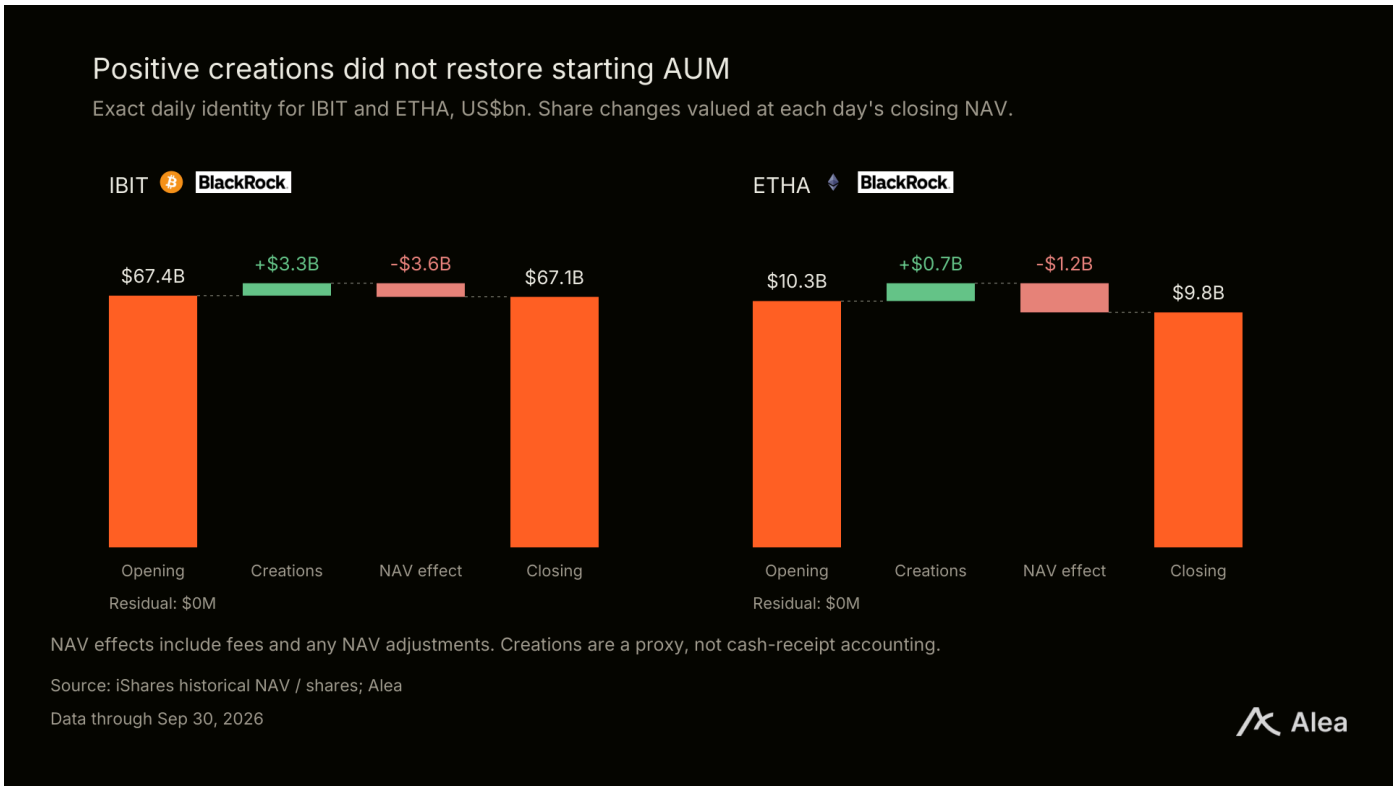
IBIT's assets increased from **$43.23B** at June 30 to **$67.06B** at September 30. NAV growth contributed **$18.88B**, or **79.3%** of the **$23.83B** increase. Net share creations valued at NAV added **$4.94B**.

ETHA's assets increased from **$4.28B** to **$9.83B**. Its NAV appreciation added **$3.33B**, or **60%** of the increase; net share creations valued at NAV added **$2.22B**.

At their annual fees of **25 basis points**, IBIT's and ETHA's September-end assets implied a combined annual sponsor fee run rate of **$192.2M**, up from **$118.8M** at June-end. The **61.8%** increase came from a larger asset base.

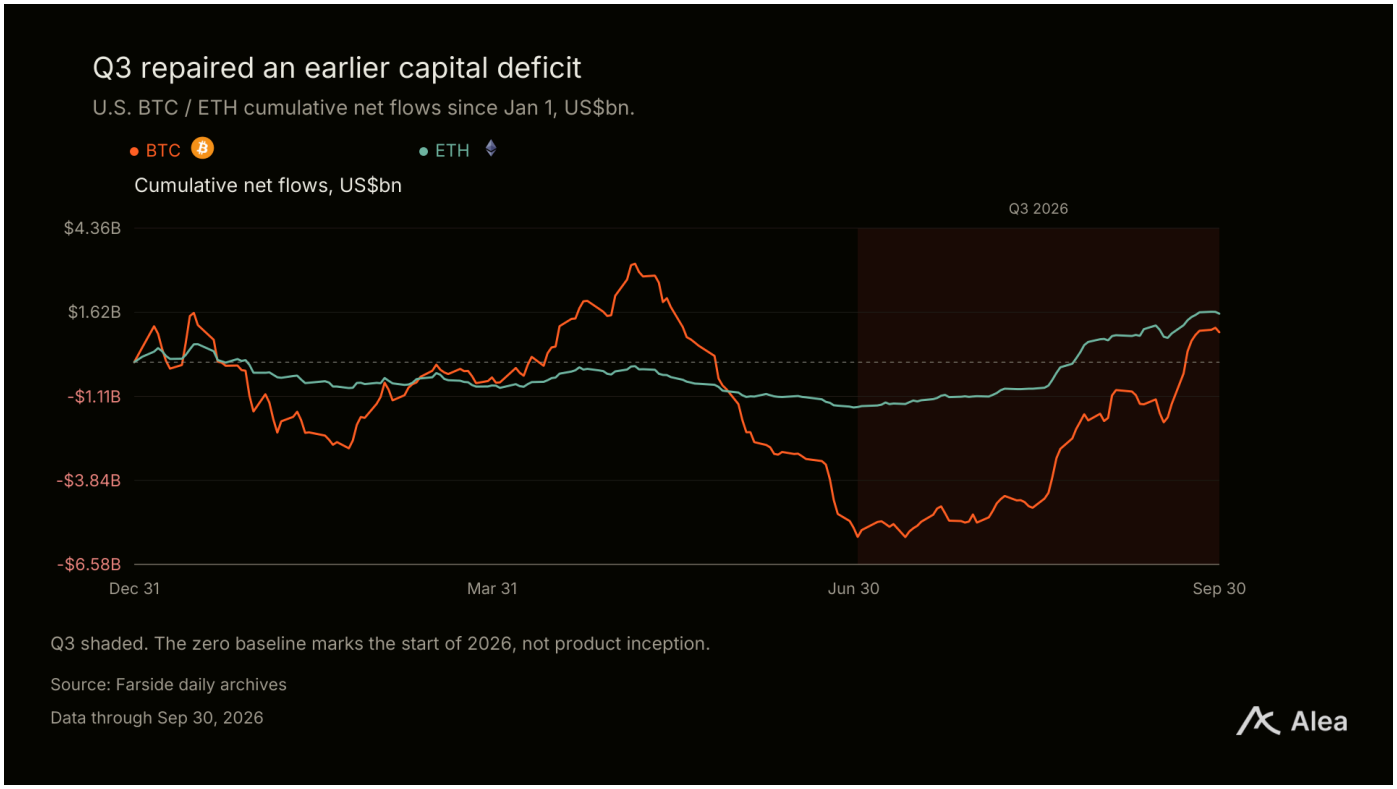


Net share creations valued at NAV added **+$3.32B** to IBIT's assets YTD and **+$746.5M** to ETHA's. NAV changes contributed **-$3.65B** and **-$1.22B**, respectively, leaving both funds below their year-start asset levels.

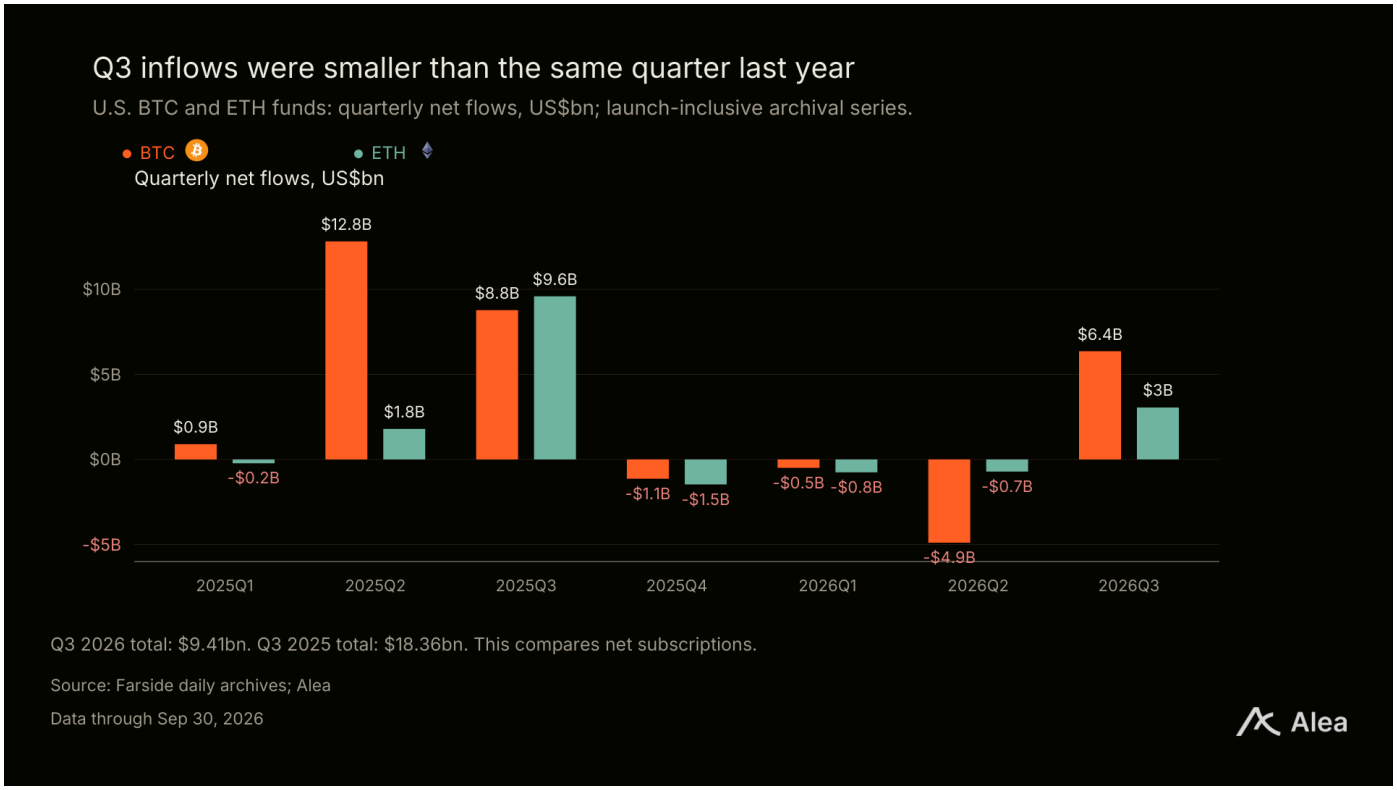


Capital Flows

BTC/ETH net outflows totaled **$6.86B** in the first half of 2026. Q3 subscriptions reversed that deficit and left **+$2.55B** YTD. BTC ended YTD at **+$969.8M** and ETH at **+$1.58B**.

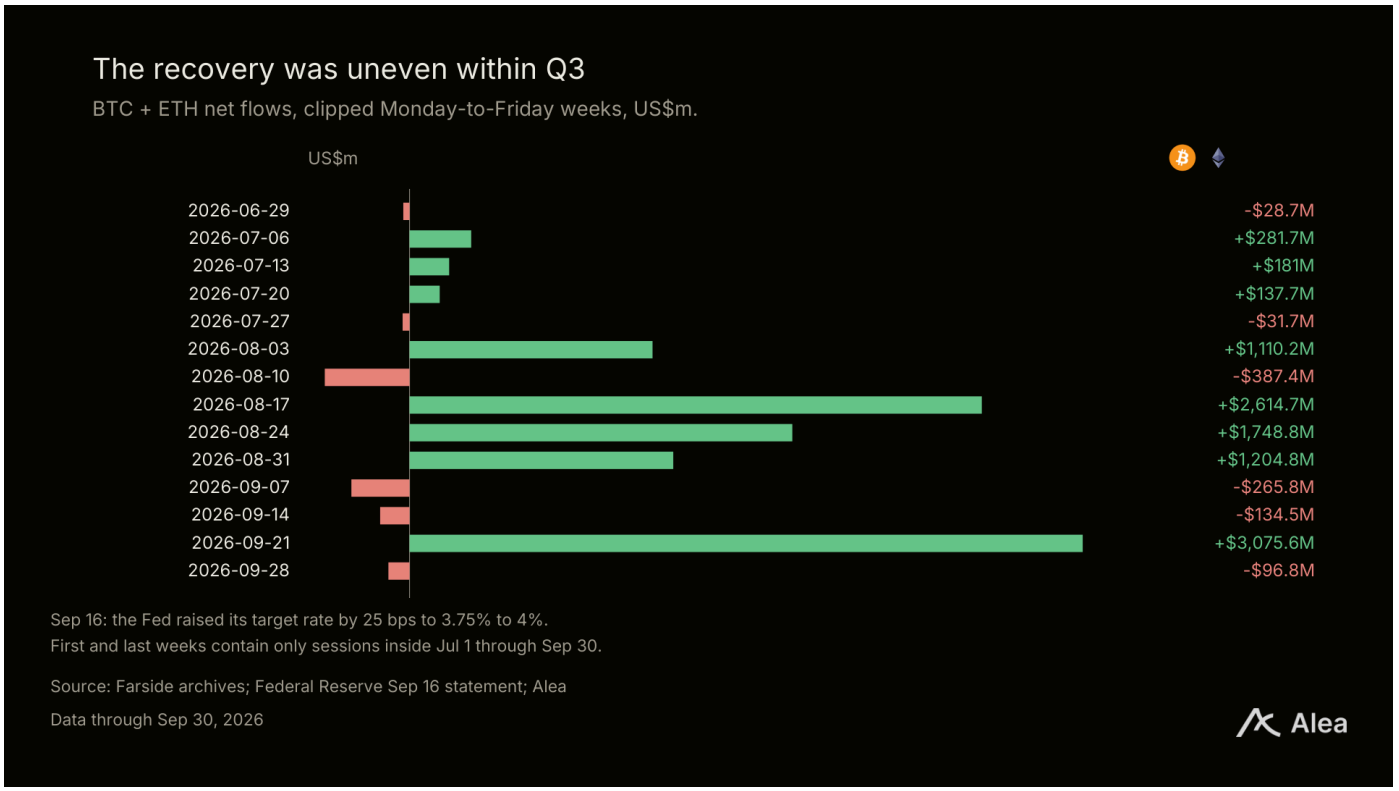


BTC's Q3 net inflows were **27.5%** below Q3 2025; ETH's were **68.2%** below it. Both groups returned to positive quarterly flows after Q2 redemptions.



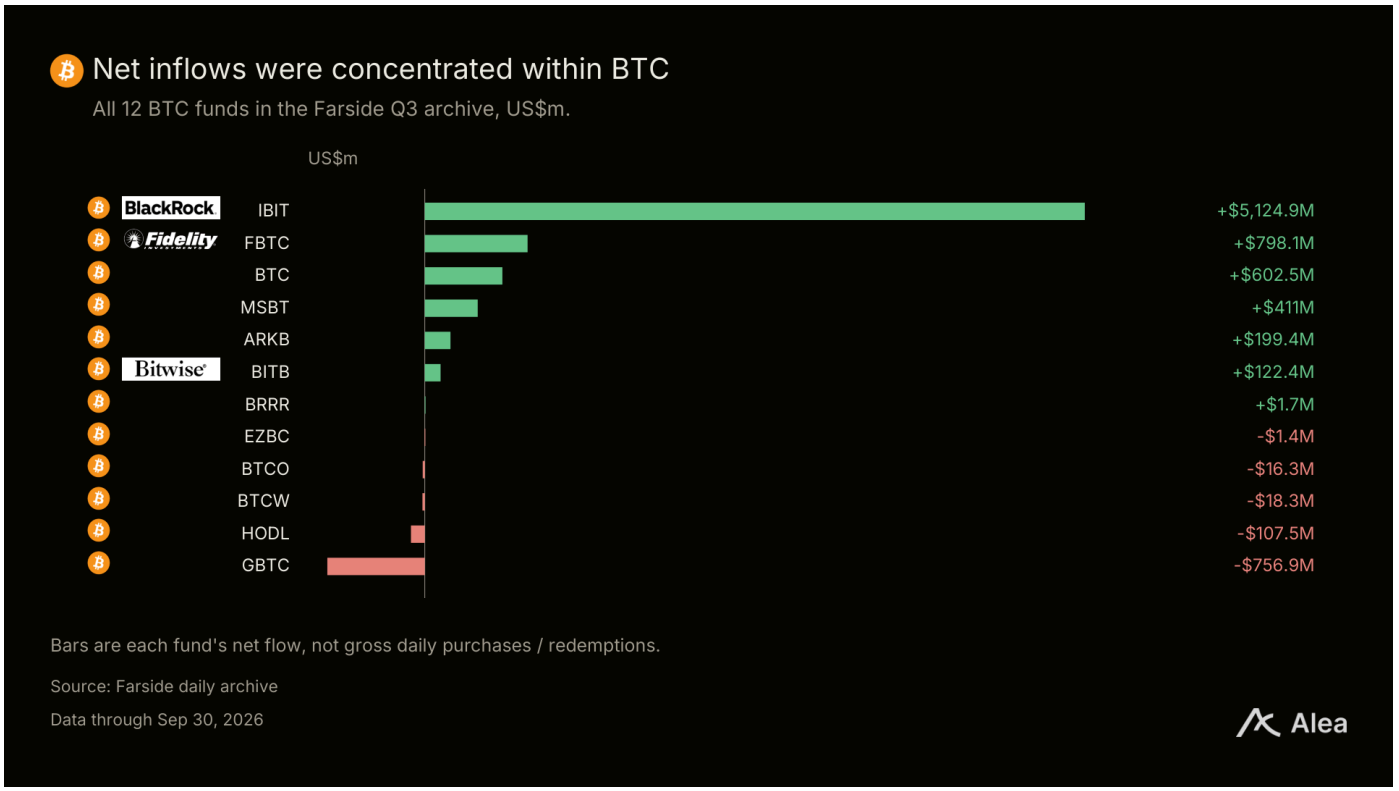
BTC/ETH inflows clustered in the weeks of August 17 and September 21. Together, those weeks added **$5.69B**, or **60.5%** of Q3 net inflows.

The Federal Reserve raised its policy-rate target by **25 basis points** to **3.75%** to **4%** on September 16. BTC/ETH funds had net outflows of **$134.5M** in the week of September 14 and attracted **$3.08B** in the following week.

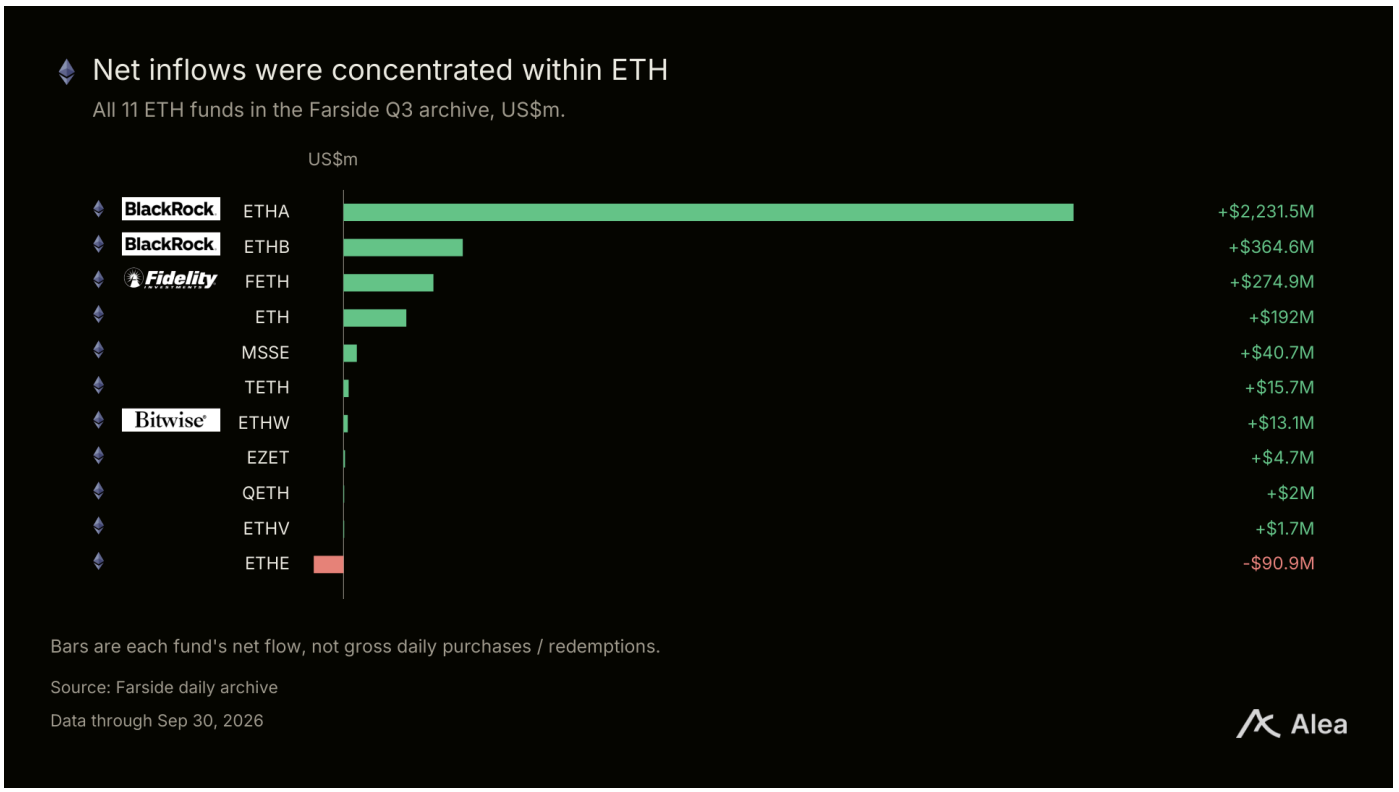


Issuer Flows

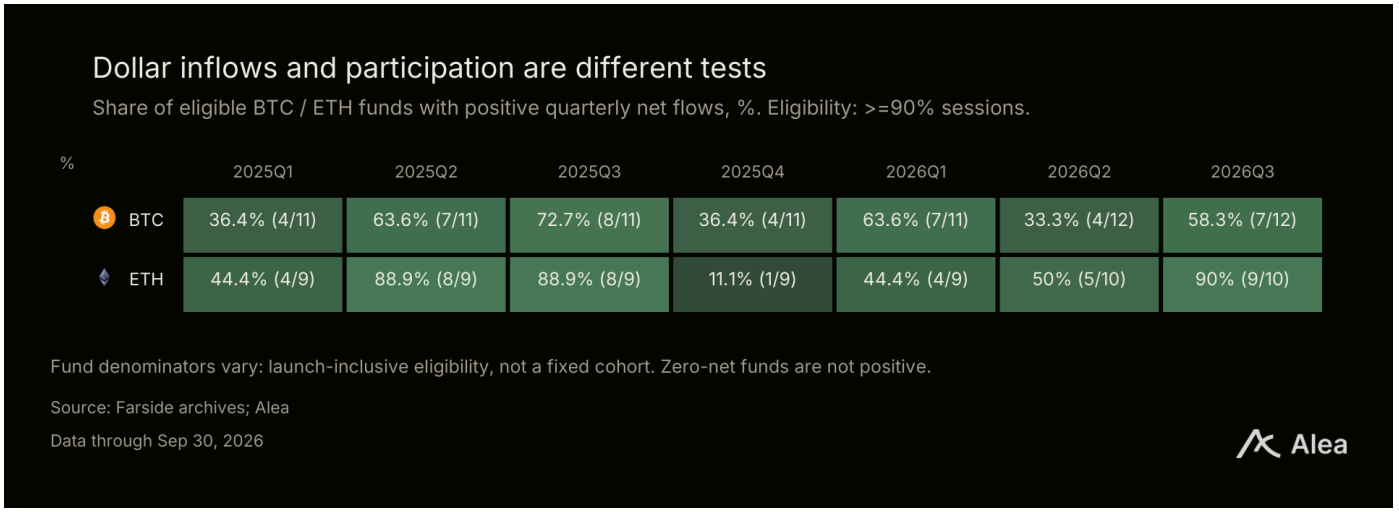
IBIT attracted **$5.12B** in Q3, equivalent to **80.6%** of the BTC group's signed net inflows. FBTC added **$798.1M** and Grayscale's BTC product added **$602.5M**; GBTC lost **$756.9M**.



ETHA attracted **$2.23B**, equivalent to **73.2%** of the ETH group's Q3 net inflows. ETHB added **$364.6M** and FETH added **$274.9M**; ETHE lost **$90.9M**.



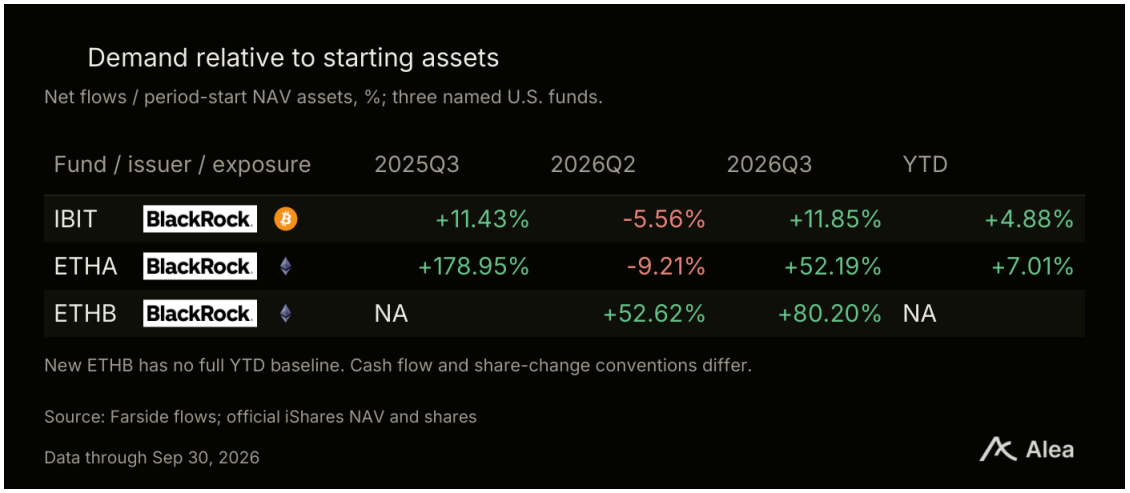
Positive-flow participation rose from **33.3%** in Q2 to **58.3%** in Q3 for bitcoin funds. Ether participation rose from **50%** to **90%**.



%	2025Q1	2025Q2	2025Q3	2025Q4	2026Q1	2026Q2	2026Q3
BTC	36.4% (4/11)	63.6% (7/11)	72.7% (8/11)	36.4% (4/11)	63.6% (7/11)	33.3% (4/12)	58.3% (7/12)
ETH	44.4% (4/9)	88.9% (8/9)	88.9% (8/9)	11.1% (1/9)	44.4% (4/9)	50% (5/10)	90% (9/10)

Q3 net flows equaled **11.85%** of IBIT's June-end assets, **52.19%** of ETHA's, and **80.20%** of ETHB's. ETHB attracted **$364.6M** against a much smaller starting asset base, producing the highest flow intensity of the three funds.

IBIT's Q3 flow intensity rose from **11.43%** a year earlier to **11.85%**. Its June-end asset base fell from **$74.78B** to **$43.23B**, offsetting the effect of lower dollar inflows on the ratio. ETHA's intensity fell from **178.95%** to **52.19%** as net inflows contracted.



Altcoin Flows

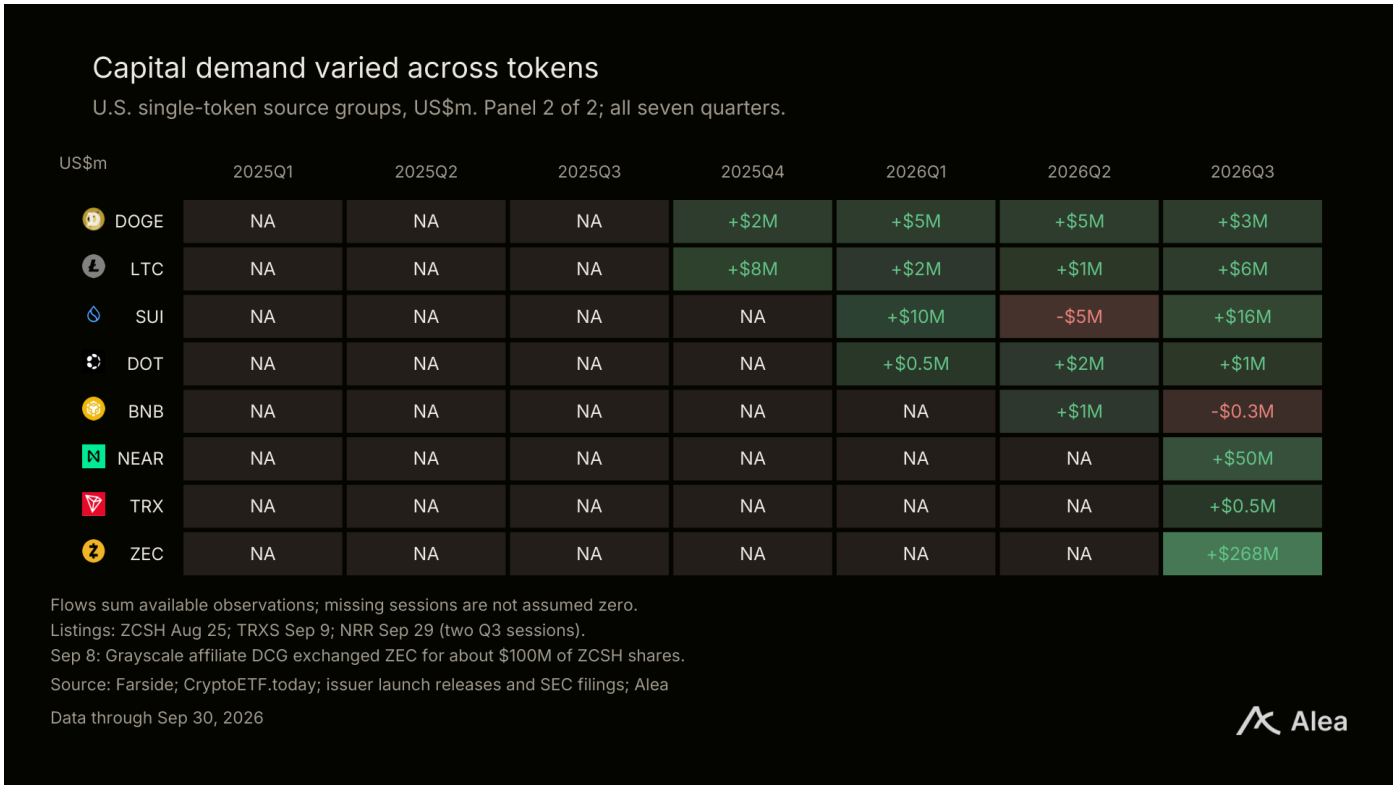
SOL's Q3 flow sum reached **+$480.25M**; XRP's reached **+$258.83M**. Their YTD sums were **+$836.35M** and **+$512.17M**, respectively.



ZEC's Q3 flow sum reached **+$267.74M**. Hyperliquid's reached **+$44.11M**, close to Chainlink's **+$44.70M**.

ZCSH began trading on NYSE Arca on August 25, bringing existing Grayscale trust holdings into the ETF market. On September 8, DCG International Investments, an affiliate of Grayscale and the fund, exchanged ZEC for about **$100M** of ZCSH shares. The transaction was an in-kind creation, with tokens delivered for fund shares.

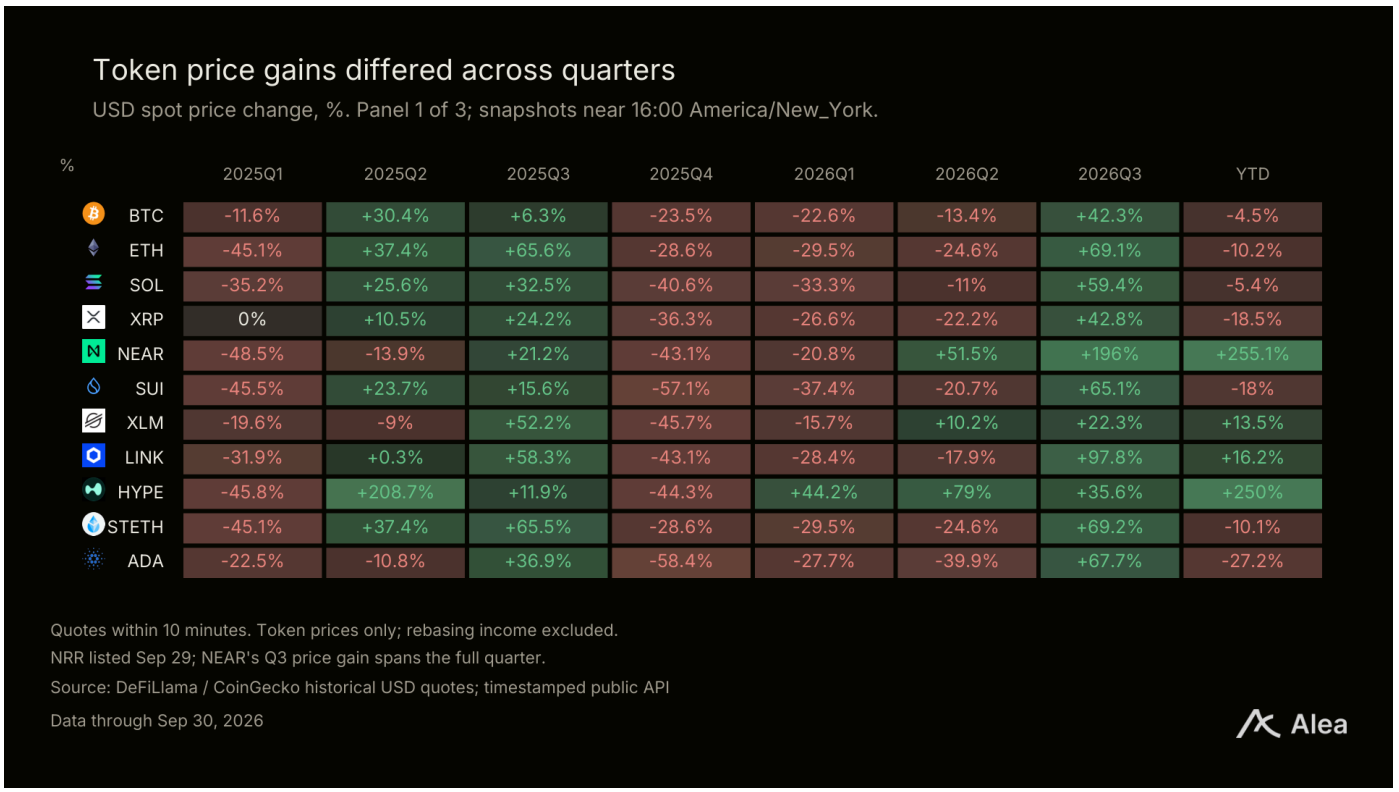
Canary's staked TRX fund, TRXS, began trading on September 9. Bitwise's NEAR fund, NRR, followed on September 29. NRR's two Q3 sessions added **$50.03M** to NEAR's flow sum.



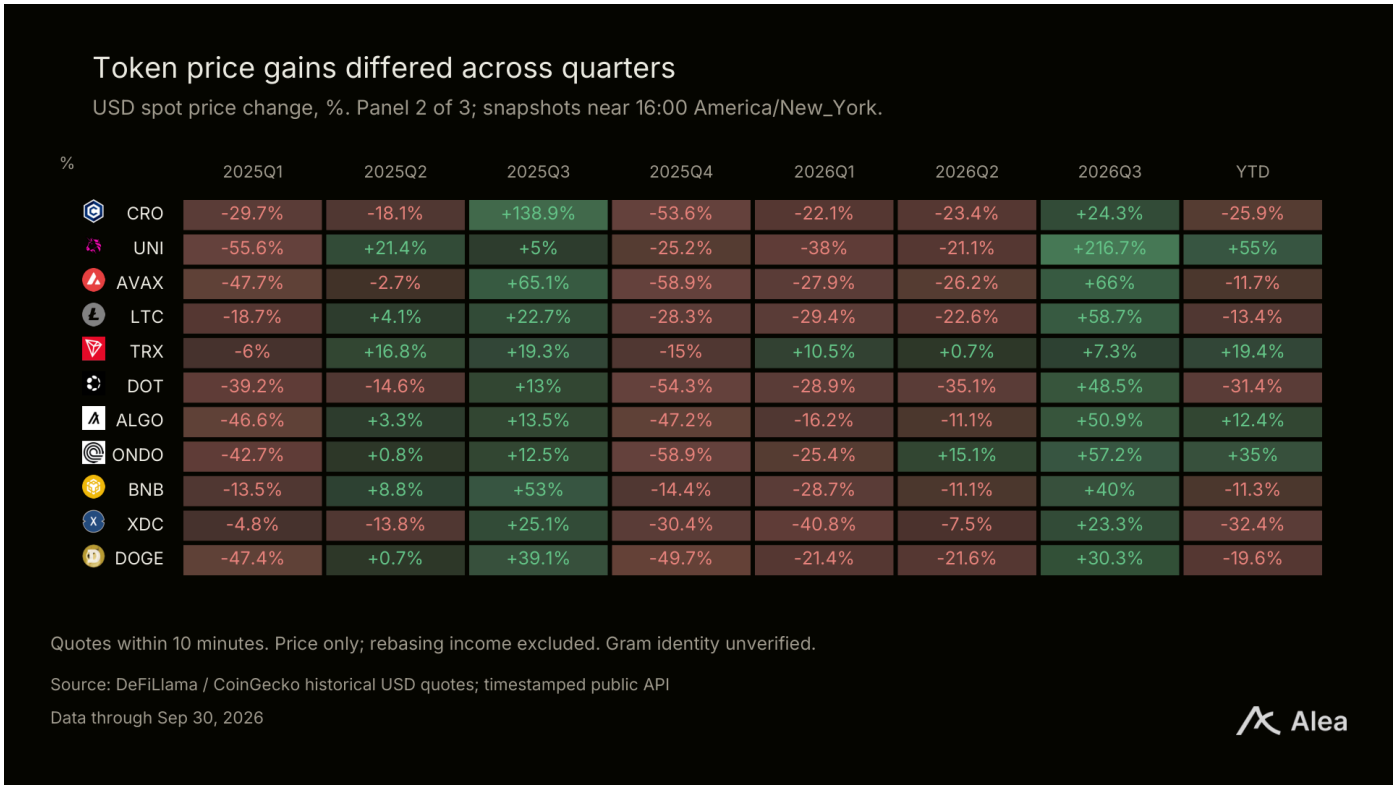
Token Returns

BTC's USD price rose **42.33%** in Q3, compared with **69.13%** for ether. SOL gained **59.42%** and XRP gained **42.75%**.

NEAR rose **195.99%** in Q3 and LINK gained **97.79%**, outpacing BTC and ETH. NEAR's gain spans the full quarter; NRR traded only its final two sessions.

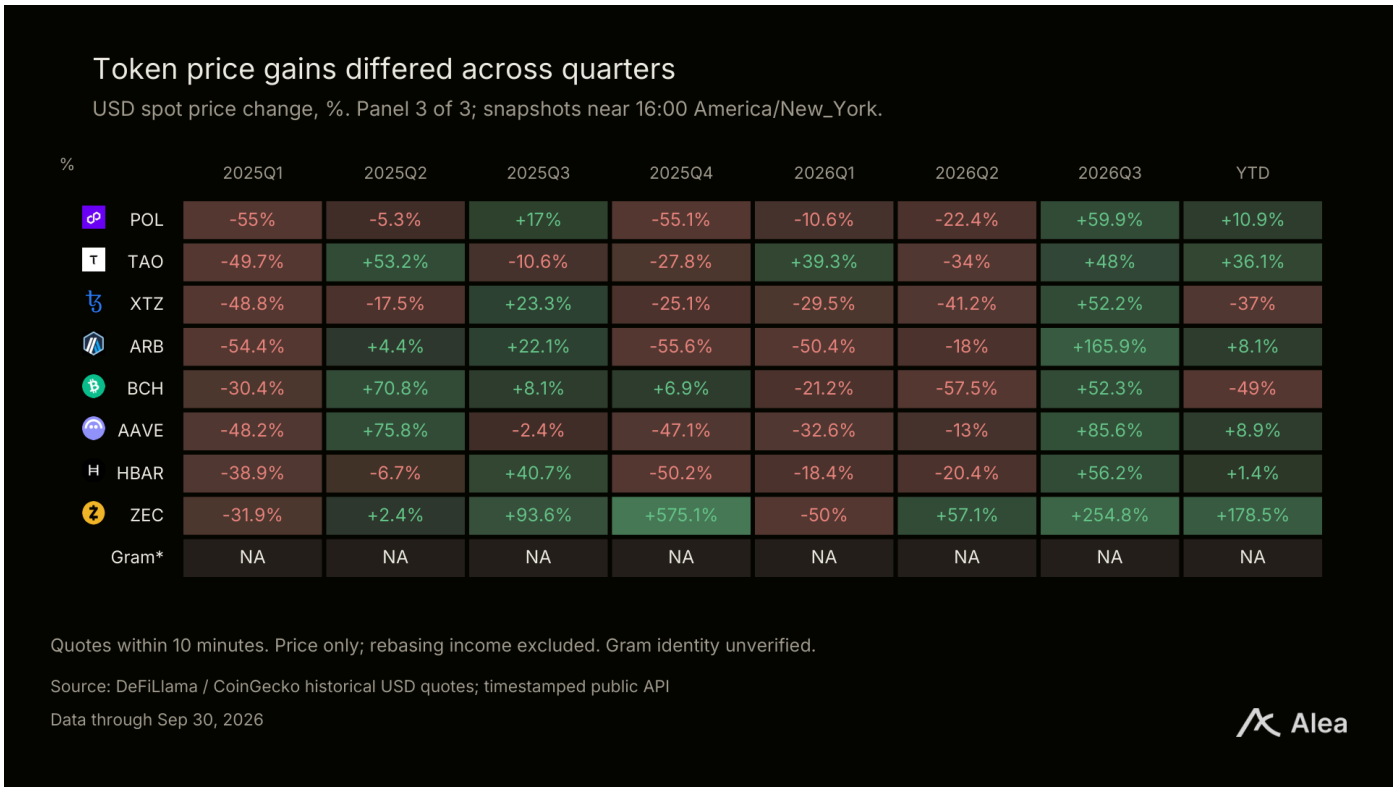


UNI rose **216.69%** in Q3. AVAX gained **66.04%** and LTC gained **58.65%**; TRX rose **7.31%**.



ZEC led the **30** coins with a **254.8%** Q3 price gain. ARB rose **165.87%** and AAVE rose **85.64%**.

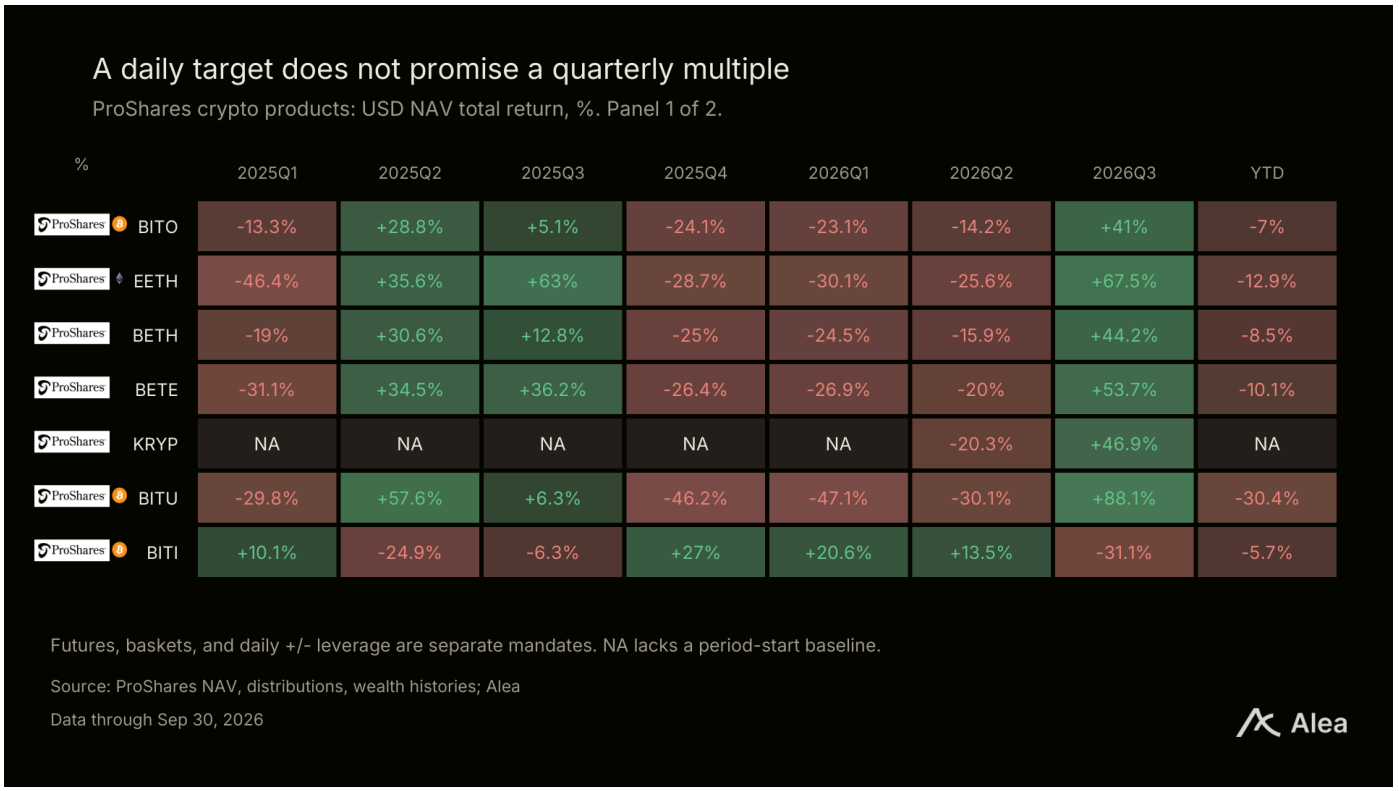
All **30** coins gained in Q3. Fourteen had positive YTD price returns, and **16** remained negative. The broad quarterly rally rebuilt wealth from different starting levels after earlier gains and losses.



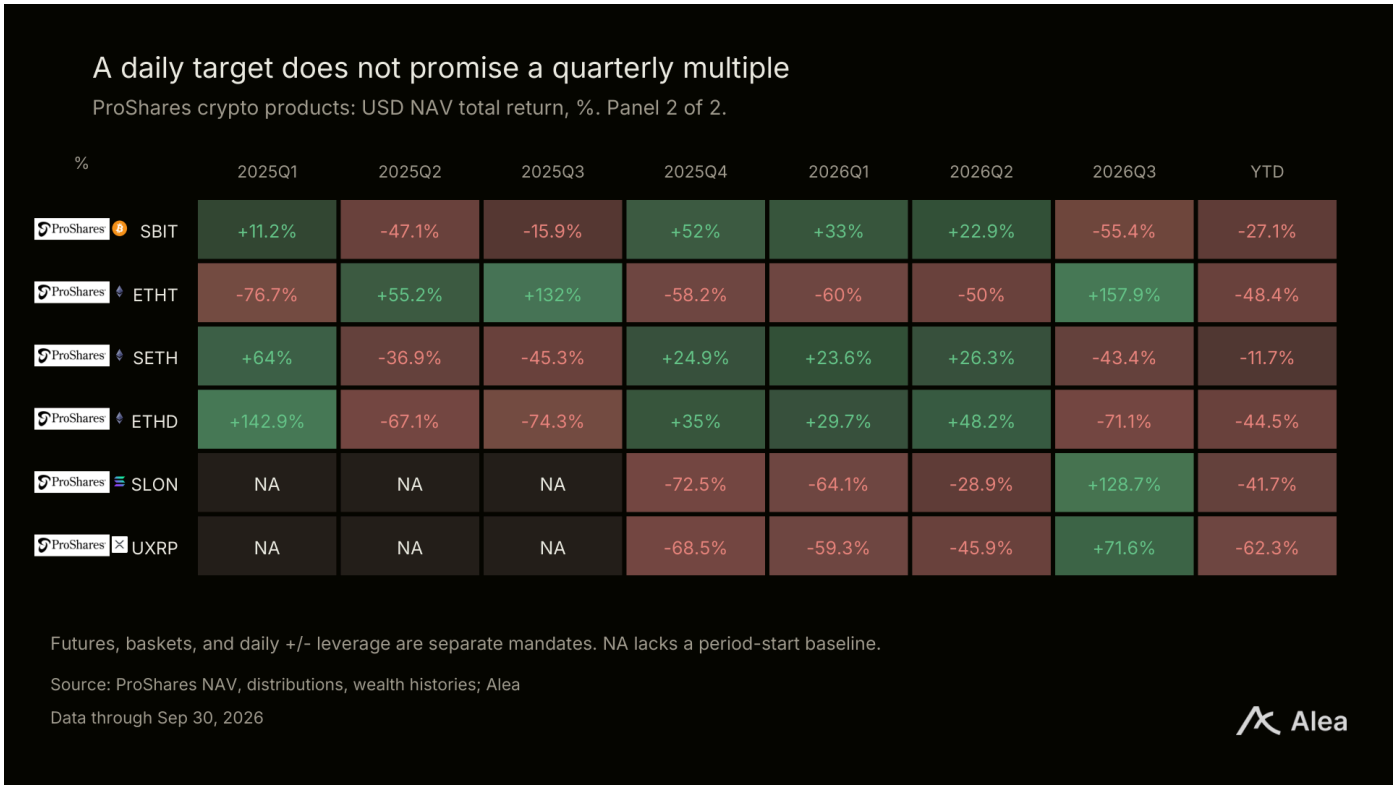
Strategy Returns and Risk

BITO, a bitcoin futures fund, returned **41.01%** in Q3 and **-6.96%** YTD. IBIT returned **42.78%** and **-4.30%**, respectively.

Futures funds combine coin exposure with contract rolls and collateral income. Financing and portfolio expenses also enter NAV, separating their shareholder returns from direct token holdings.

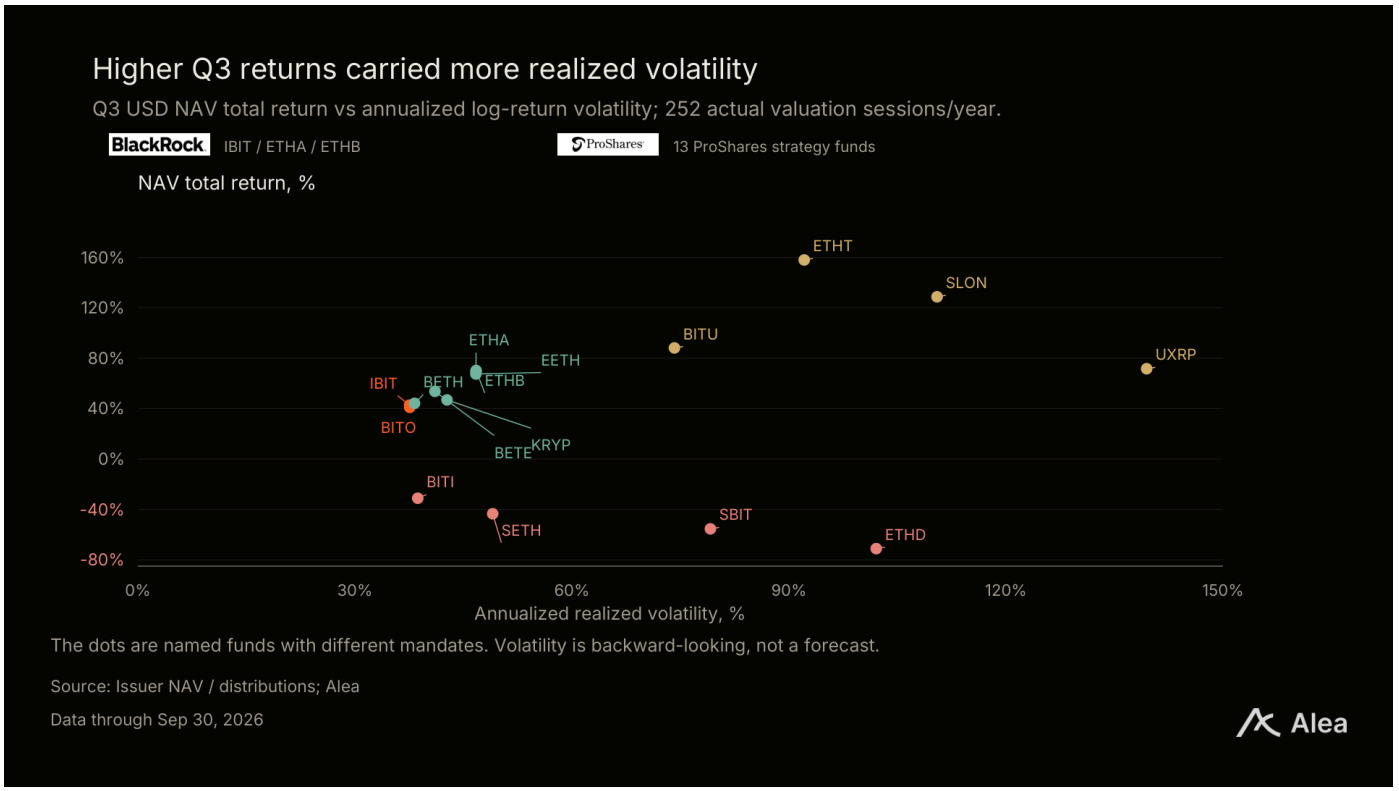


BITU returned **+88.14%** in Q3 and **-30.42%** YTD. ETHT gained **157.93%** in Q3 and remained down **48.40%** YTD. BITU targets twice its bitcoin benchmark's daily return; each reset compounds the next session's return on the fund's changing capital base.



Bitcoin inverse funds BITI and SBIT fell **31.1%** and **55.4%** in Q3 as bitcoin rallied. Their negative daily exposure turned the coin's gains into shareholder losses.

BITU's Q3 annualized volatility was **74.17%**, compared with IBIT's **37.56%**. ETHT's was **92.12%**, against ETHA's **46.75%**. Daily leverage increased both gains and the size of daily fluctuations.



ETHT ended September **59.58%** below its highest total-return wealth since year-start. Q3's rally recovered part of the earlier drawdown.



Staking and Distributions

BITB returned **42.79%** on NAV in Q3 and **-4.26%** YTD; ETHW returned **69.50%** and **-9.96%**. Each had an annual sponsor fee of **20 basis points**. Their Q3 returns were within **0.02 percentage points** of IBIT's and ETHA's, respectively.

ETHB returned **70.21%** on NAV in Q3, compared with ETHA's **69.49%**. ETHB exceeded their shared unstaked ether benchmark by **0.63 percentage points**; ETHA trailed it by **0.09 percentage points**.

ETHB's standard annual sponsor fee is **25 basis points**. A waiver reduces it to **12 basis points per year** on the first **$2.5B** of trust assets through March 11, 2027.

ETHB's April 15, 2026 terms allocate **10%** of gross staking rewards to the sponsor and execution agent Coinbase, including payments to staking providers. The trust retains **90%** before the annual sponsor fee and other expenses.

FETH amended its trust terms on August 7 to permit staking. Its sponsor agreement allocates **15%** of staking rewards to the sponsor and service providers, alongside the separate annual fund expense ratio of **25 basis points**.

On August 27, 21shares added "Staking" to the names of TETH, TSOL, TDOT, TSUI, and THYP; tickers, exposures, and management fees stayed unchanged. TETH also switched its NAV pricing benchmark from the CME CF ether reference rate to the FTSE Ethereum Index that day.



Reinvesting BITO's cash distributions raised its Q3 NAV return from **40.46%** to **41.01%**. Its YTD return rose from **-7.87%** to **-6.96%**.

ETHB's Q3 NAV price return was **69.55%**, versus a total return of **70.21%** with cash distributions reinvested.

Cash reinvestment added **0.55 percentage points** to BITO's Q3 return and **0.67 percentage points** to ETHB's.

Cash distributions and total return are different numbers

NAV price return versus NAV total return; reinvest distributions at ex-date NAV.

Fund		Period	NAV price	Total return	Distribution effect	Interpretation
ETHB	BlackRock	2026Q3	+69.55%	+70.21%	+0.67 pp	Reinvested cash payouts
ETHB	BlackRock	YTD	NA	NA	NA	Reinvested cash payouts
BITO	ProShares	2026Q3	+40.46%	+41.01%	+0.55 pp	Reinvested cash payouts
BITO	ProShares	YTD	-7.87%	-6.96%	+0.91 pp	Reinvested cash payouts

Reinvestment effect only; no annual yield or gross reward retention. Differences use unrounded data.

Source: iShares ETHB; ProShares BITO NAV and ex-distributions

Data through Sep 30, 2026

Alea

Fund Scorecard

IBIT delivered **42.78%** in Q3 at **37.56%** annualized volatility. BITO delivered **41.01%** at **37.59%**. Similar volatility accompanied different net returns from spot and futures exposure.

U.S. fund returns and risk retained their strategy differences

Q3 and YTD USD NAV total returns; volatility annualized; September AUM in US$M.

Fund / issuer / exposure		Q3 NAV	YTD NAV	Q3 volatility	Q3 drawdown	Sep AUM (US$M)
IBIT	BlackRock	+42.78%	-4.30%	37.56%	-7.03%	$67,060.5M
ETHA	BlackRock	+69.49%	-10%	46.75%	-5.63%	$9,825M
ETHB	BlackRock	+70.21%	NA	46.76%	-5.61%	$1,179.7M
BITO	ProShares	+41.01%	-6.96%	37.59%	-7.26%	$1,707M
EETH	ProShares	+67.48%	-12.90%	46.72%	-5.39%	$72.7M
BETH	ProShares	+44.20%	-8.46%	38.25%	-6.81%	$12.1M
BETE	ProShares	+53.67%	-10.07%	41.07%	-6.05%	$9.4M
KRYP	ProShares	+46.87%	NA	42.74%	-6.57%	$1.9M
BITU	ProShares	+88.14%	-30.42%	74.17%	-14.45%	$599.6M
BITI	ProShares	-31.10%	-5.70%	38.69%	-33.58%	$81.1M
SBIT	ProShares	-55.40%	-27.09%	79.14%	-58.47%	$127.5M
ETHT	ProShares	+157.93%	-48.40%	92.12%	-10.74%	$294.2M
SETH	ProShares	-43.43%	-11.69%	49.05%	-45.56%	$9.2M
ETHD	ProShares	-71.11%	-44.45%	102.07%	-73.09%	$60.5M
SLON	ProShares	+128.70%	-41.67%	110.47%	-22.84%	$32.1M
UXRP	ProShares	+71.63%	-62.25%	139.45%	-28.42%	$57.1M

Different mandates prevent a pooled best-fund ranking. NA retains missing baselines.

Source: iShares and ProShares NAV / distributions; Alea

Data through Sep 30, 2026

Alea

Conclusion

Q3 restored positive BTC/ETH capital flows and enlarged fund assets. IBIT and ETHA recorded strong quarterly NAV gains and closed September below year-start wealth. Earlier losses left smaller capital bases for the rally to rebuild.

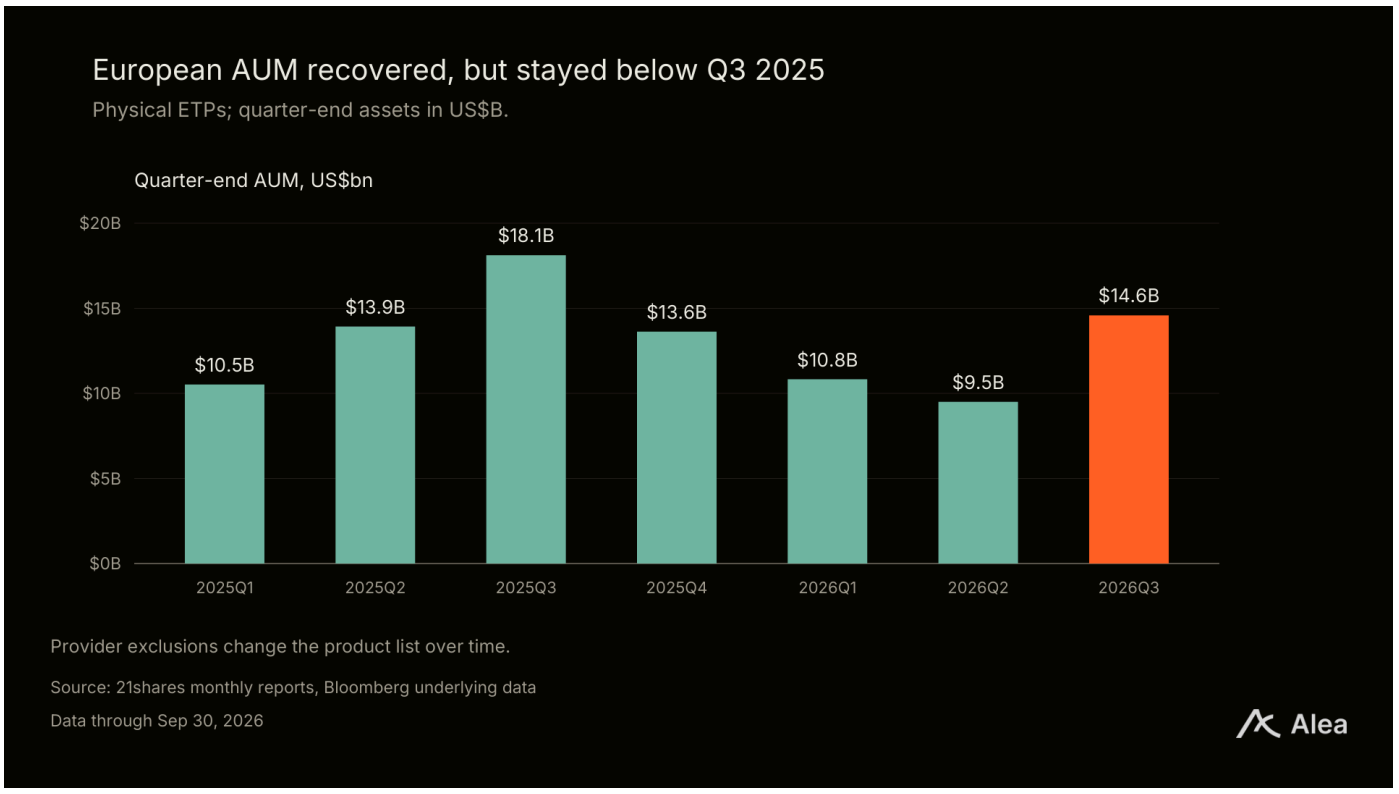
Sponsors gained larger fee bases as NAVs rose and investors created shares. Higher NAVs supplied most of IBIT's and ETHA's Q3 asset increases, enlarging the fee base from existing holdings as well as newly issued shares.

Fund selection changed how the rally reached shareholders. IBIT and BITB differed by **0.01 percentage points** in Q3; daily leveraged BITU returned **88.14%**, and inverse BITI lost **31.1%**. Staking contracts divided rewards between shareholders and service providers, while cash reinvestment added to total returns.

Appendix: Europe

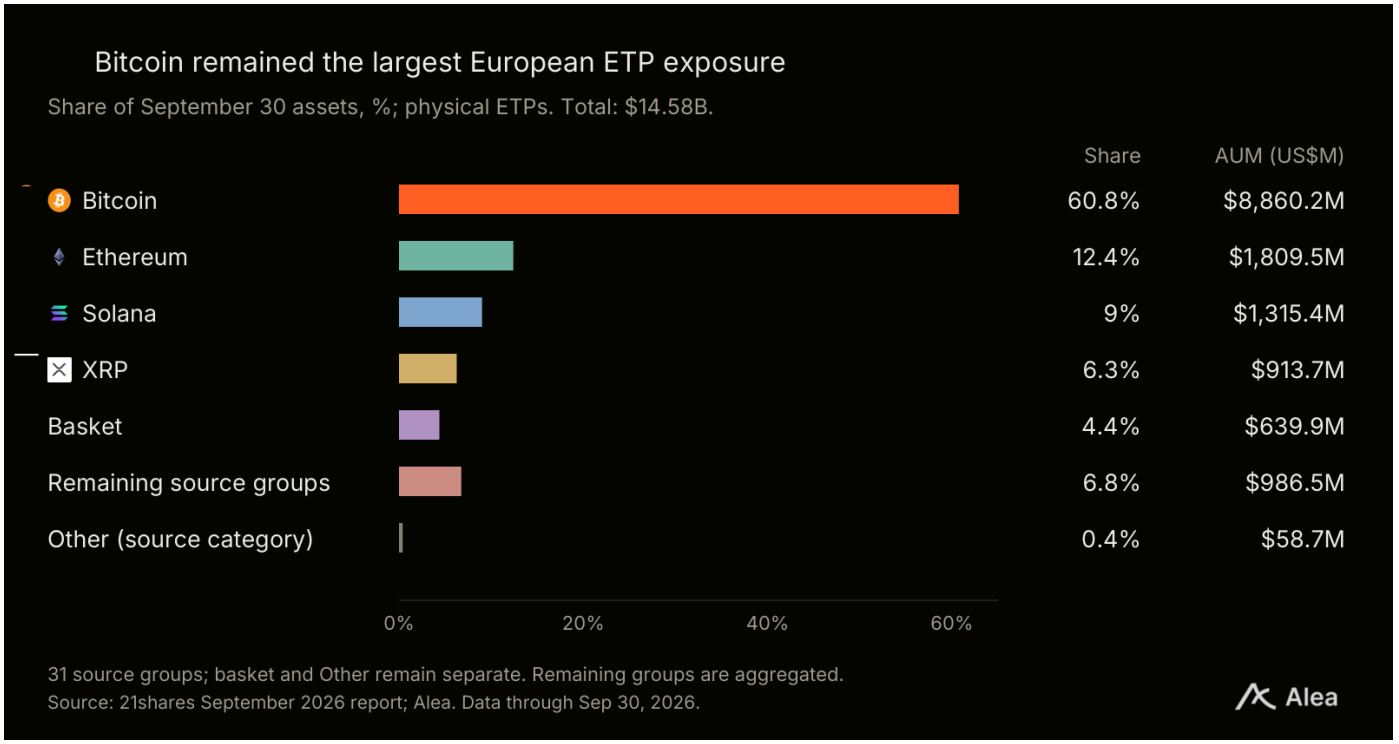
AUM recovery

European physical ETP assets reached **$14.58B** at September-end, **53.5%** above June and **7%** above year-start. Assets remained **19.5%** below September 2025.



Token mix

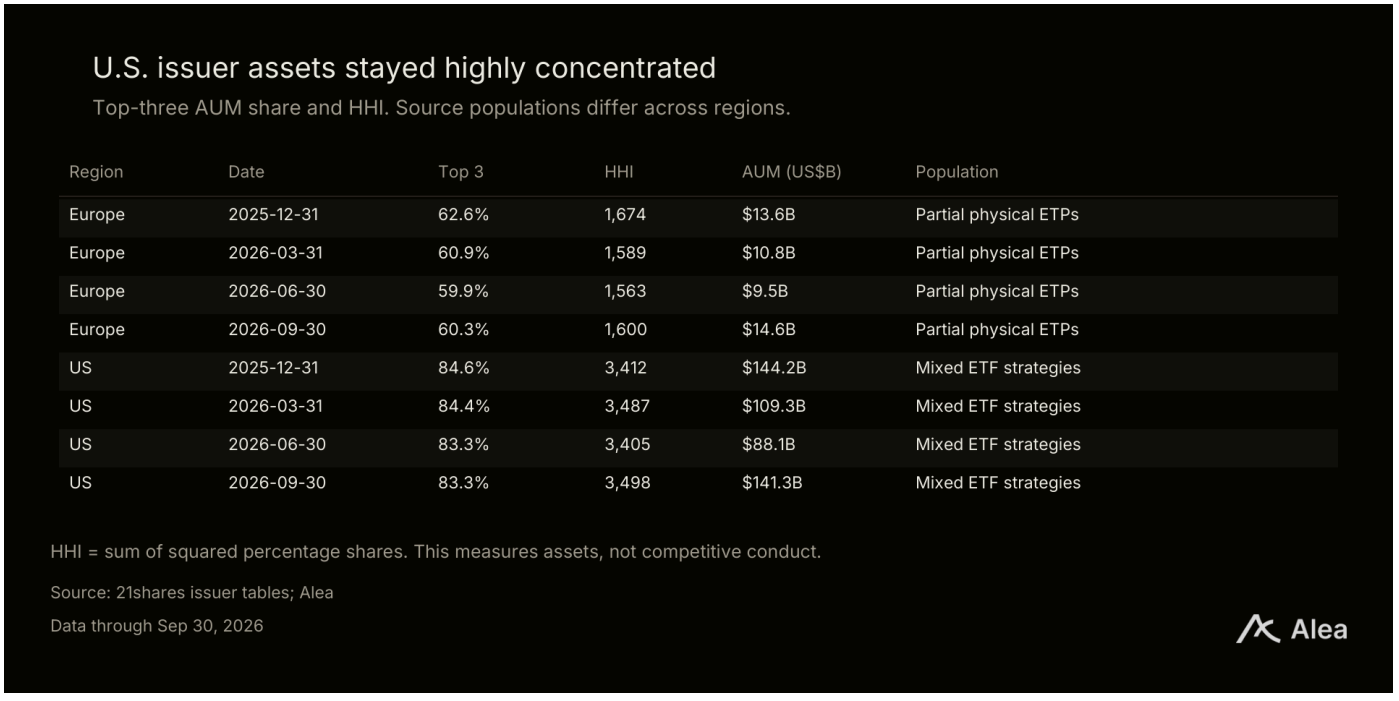
Bitcoin held **60.8%** of September assets, followed by ether at **12.4%**. Solana held **9%** and XRP held **6.3%**; baskets held **4.4%**.



Issuer concentration

The top three U.S. issuers held **83.3%** of September-end assets, unchanged from June and below **84.6%** at year-start. Europe's top-three share was **60.3%**, against **62.6%** at year-start.

Issuer concentration, measured by the Herfindahl-Hirschman index, increased from **3,405** in June to **3,498** in September in the U.S. Europe's index rose from **1,563** to **1,600**.



References

U.S. flows: BTC archive; ETH archive; partial altcoin series.

Fund NAV and terms: IBIT; ETHA; ETHB; ProShares NAV and distributions; BITB September 30 fact sheet; ETHW September 30 fact sheet.

Fee and staking terms: ETHB prospectus and April 15, 2026 supplement; FETH August 7 staking agreement.

Earlier asset snapshots: December 31, 2024; March 31, 2025; June 30, 2025.

Following asset snapshots: September 30, 2025; December 31, 2025; March 31, 2026.

Latest asset snapshots: June 30, 2026; September 30, 2026.

Legal structure: European ETP terms.

Issuer product map: exchange ticker definitions; Fidelity crypto funds; ARKB sponsor terms; TETH; BITX; ETHU; BITA option strategy.

Coin prices: timestamped USD snapshots. Price returns exclude staking and rebasing income.

Q3 events: ZCSH uplisting; DCG ZEC creation; TRXS launch; NRR launch; TETH benchmark change; 21shares staking names; Federal Reserve September 16 decision.